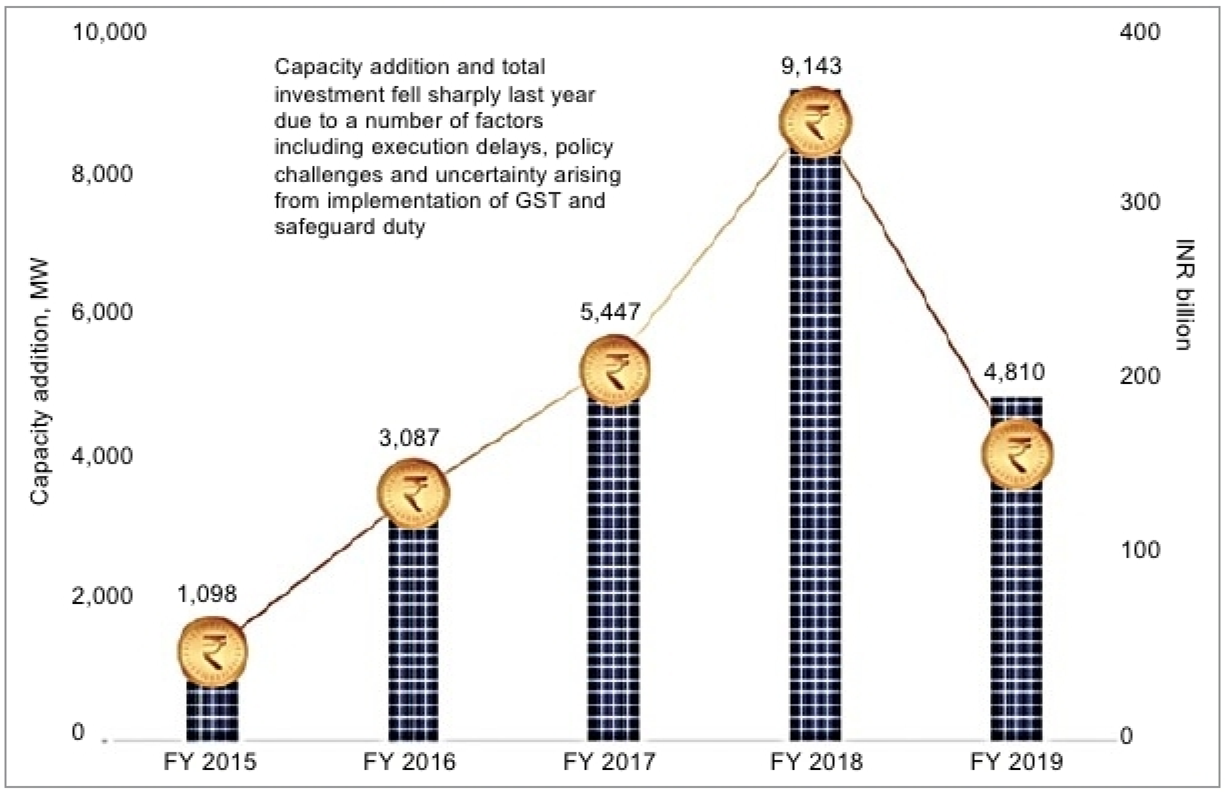

Fig. 2: Capacity addition and investment in the Indian solar sector

were announced by Ministry of New and Renewable Energy (MNRE) in March 2019. According to the ministry, in a notification, to address the two most critical elements, namely, land and power evacuation infrastructure for solar parks, a new mode is being introduced for the development of renewable energy parks (solar/wind/hybrid/other renewable energy parks) through Solar Energy Corporation of India (SECI).

According to the amended guidelines, named Mode-7, SECI will make both government and private land available for successful bidders for setting up projects with the assistance of the state government. In addition to land cost, solar project developers would also pay a facilitation charge to the state government. Facilitation charge would be calculated as two paisa per unit of power being generated in these parks. Further, no fund from Central Financial Assistance (CFA) would be utilised for procurement of land.

SECI would act as Solar Power Park Developer (SPPD) and arrange the external power evacuation infrastructure of the parks developed by External Transmission Development Agency such as transmission utilities. However, internal infrastructures of the renewable energy parks, including battery storage, will be done by renewable energy project developers at their own cost. And this would be factored in the tariff to be bid by project developers.

Under the new guidelines, SECI would also set up Payment Security Mechanism to make setting up of renewable energy projects in such parks more attractive. The idea is to ensure continuous payment to developers and mitigate risk due to default in payments by discoms.

According to the new MNRE memorandum, under Mode-5A, any central public sector unit (CPSU) or special-purpose vehicle (SPV) formed by the CPSU or government organisation that has land, or has arranged land from various state governments or the central government, can approach the ministry directly to set up a solar park.

Earlier, it was mandatory for the CPSU to be the owner of the land. Moreover, earlier it was a must for the CPSU to own the land before approaching solar park developers for open bidding. But now it is not mandatory for it to own land before approaching solar park developers. In fact, private entrepreneurs can also develop solar parks. However, private players will not get any central financial assistance (CFA).

As of March 31, 2019, MNRE has approved 38 solar parks in India with a total capacity of 23,104MW (Fig. 4) across sixteen states. The existing solar park scheme provides for CFA of two million rupees per MW or thirty per cent of the project cost, whichever is less, for setting up of both the internal and external evacuation infrastructure. Thus, this amendment would increase solar park project cost for developers.

Pending policies

Announcement of concrete plans for new solar schemes like SRISTI and KUSUM has been pending for a long time. However, considering the pressure for farmer-betterment-related plans and reforms, KUSUM scheme may see some progress. According to a Press Information Bureau (PIB) release, KUSUM scheme is intended for harnessing solar power for rural India. Under this scheme, farmers can install solar water pumps in remote areas for irrigation needs and also earn extra income by selling surplus solar power to discoms. The scheme will provide assistance for:

- Installation of grid-connected solar power plants, each of capacities up to 2MW, in rural areas
- Installation of standalone off-grid solar water pumps to fulfil irrigation needs of farmers who are not connected to the grid
- Solarisation of existing grid-connected agriculture pumps to make

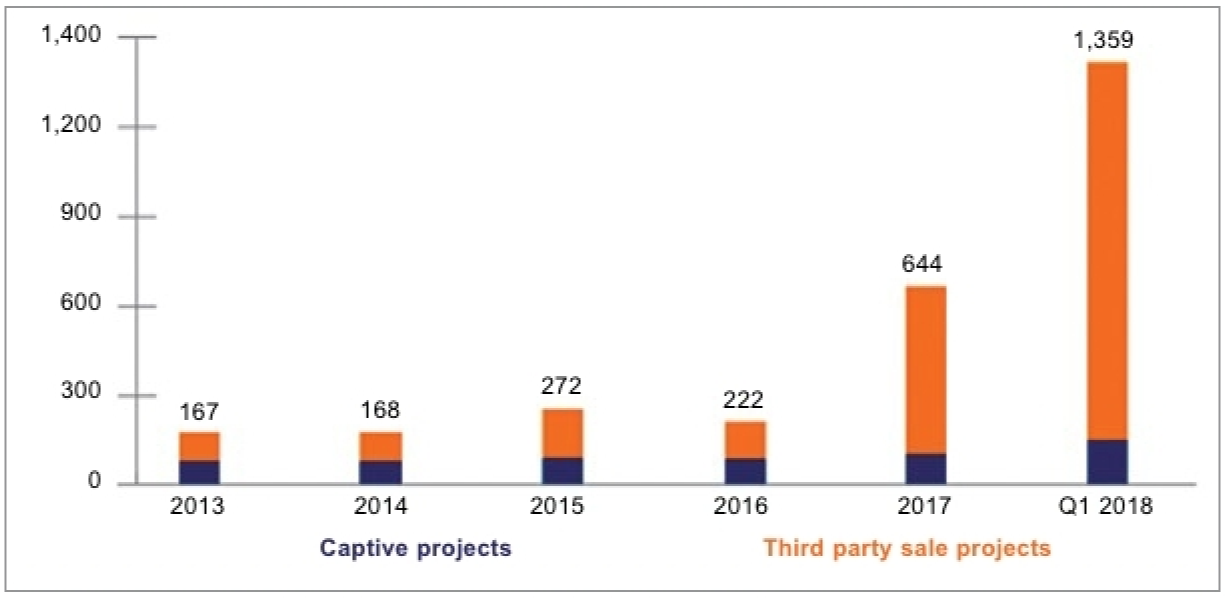

Fig. 3: Open access (OA) solar capacity (in MW) addition in India